



HIGH WEST ENERGY INC.

Owned By Those We Serve

Your Touchstone Energy® Partner 

June 8, 2012

City of Cheyenne
Mayor and City Council
2101 O'Neil Ave
Cheyenne, WY 82001

Dear Mayor and Council Members,

Please accept this letter as an application on behalf of High West Energy Inc. for an electric utility franchise from the City of Cheyenne. We believe this would be a good thing for Cheyenne for several reasons:

We are a qualified and reputable provider of power. HWE is price competitive, offers reliable service and has high customer satisfaction levels. We are focused on meeting the growing demands of the areas surrounding Cheyenne, and are investing \$8.5 million in a new substation, transmission lines and a new customer service center by Cheyenne.

We are a part owner of a Tri-State Generation & Transmission Company, which is a multi-state power generator with its headquarters in Westminster, CO. Tri-State, in turn, is a part owner of Basin Electric, which is also a multi-state power generator, and the owner-operator of Laramie River Station in Wheatland and Dry Fork Station near Gillette.

HWE owns, operates and maintains more miles of electric line and covers a larger geographical area, sometime over very rough terrain, than does CLFP. We are safety accredited by our national organization and our insurance provider, and enjoy high satisfaction from our membership.

Benefits of the cooperative business model. A key difference between a co-op and an investor-owned utility is our business model. We return our profits to our customers at the end of the year. High West returned \$275 in the form of a dividend, on average, to each of our 10,000 customers in November 2011.

As the city grows, more people are choosing to live in High West's territory where we have lines and substations established to serve our customers. We believe these individuals will enjoy not only becoming customers of High West Energy, but also members of our cooperative family, with the ability to share in these dividends and also have a real voice in the management of the company through democratically elected board members from each member district.

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High West Energy is not seeking to grow its service territory. Rather, as Cheyenne grows, the city's boundaries have been moving into areas where our co-op has been providing electricity for 75 years. Unfortunately, our company cannot continue to serve those businesses and residents without the city's approval.

All three Ward III Council Members - Jim Brown, Georgia Broyles and Don Pierson, are sponsoring this ordinance. HWE currently provides service to 14 accounts in our certificated area in Ward III. Almost all of these accounts wish to remain customer-owners of High West Energy.

The key provisions of our proposed franchise are:

1. It will be a partial franchise for just the part of the city (now and in the future) that is in HWE's certificated area. We are not interested in taking customers or service territory from CLFP. We believe both utilities can thrive in the greater Cheyenne community and provide quality service to their respective customers.
2. We will pay a franchise fee of 3% of electric sales, but will establish a floor of at least \$10,000 per year.
3. We are committed to make financial contributions to community-based organizations in Cheyenne equal to \$2.50 per HWE customer. This equates to approximately \$25,000 annually since we have 10,000 total accounts. The \$2.50 corresponds to the level of contributions made by CLFP divided by the number of gas and electric accounts they serve. In other words, we are committed to the same level as CLFP on a per customer basis for the term of the franchise.

Thanks for your consideration.

Sincerely,

HIGH WEST ENERGY, INC.

A handwritten signature in cursive script that reads "Brian Heithoff". To the right of the main signature, there is a smaller, less legible signature that appears to say "By Brenda Robbins".

Brian Heithoff
General Manager

pc: Cheyenne City Attorney's office
Dan White, Esq.
John Ridge, Esq.